



# Risk Register 2024

Spirax-Sarco Engineering Pension Plan

Funding Risks

| Risk                                               | Likelihood | Impact   | Score | Owner         |
|----------------------------------------------------|------------|----------|-------|---------------|
| Adverse investment returns relative to liabilities | Med-High   | Med-High | 15    | Sponsor       |
| Interest rate and inflation movements              | Low-Med    | Medium   | 10    | Administrator |
| Longevity improvements beyond assumptions          | Low        | Medium   | 10    | Trustee       |
| Member option take-up variations                   | Medium     | Medium   | 5     | Sponsor       |

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.



Covenant Risks

| Risk                                | Likelihood | Impact   | Score | Owner           |
|-------------------------------------|------------|----------|-------|-----------------|
| Sponsor financial deterioration     | Medium     | High     | 12    | Sponsor         |
| Corporate restructuring or disposal | Low-Med    | Medium   | 12    | Administrator   |
| Dividend policy changes             | Med-High   | Med-High | 15    | Investment Ctte |

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Investment Risks

| Risk                                     | Likelihood | Impact   | Score | Owner         |
|------------------------------------------|------------|----------|-------|---------------|
| Counterparty failure in LDI arrangements | Medium     | Medium   | 7     | Administrator |
| Liquidity shortfall under stress         | Low        | High     | 14    | Sponsor       |
| Manager underperformance                 | Low        | Med-High | 14    | Trustee       |

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Operational Risks

| Risk                           | Likelihood | Impact   | Score | Owner           |
|--------------------------------|------------|----------|-------|-----------------|
| Administrator errors or delays | Low        | High     | 10    | Sponsor         |
| Data quality degradation       | Low        | Medium   | 6     | Investment Ctte |
| Cyber and information security | Low-Med    | Med-High | 9     | Trustee         |

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Legal & Regulatory Risks

| Risk                               | Likelihood | Impact | Score | Owner           |
|------------------------------------|------------|--------|-------|-----------------|
| GMP conversion complexity          | Med-High   | High   | 6     | Trustee         |
| Changes to tax regime for pensions | Medium     | High   | 5     | Investment Ctte |
| New Funding Code compliance        | Med-High   | High   | 8     | Trustee         |

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.



Member Outcomes Risks

| Risk                              | Likelihood | Impact   | Score | Owner   |
|-----------------------------------|------------|----------|-------|---------|
| Member communications breakdowns  | Medium     | High     | 13    | Sponsor |
| Complaints and IDRP escalations   | Med-High   | Med-High | 10    | Trustee |
| Safeguarding vulnerable customers | Low        | Medium   | 4     | Trustee |

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Transaction Risks

| Risk                           | Likelihood | Impact   | Score | Owner   |
|--------------------------------|------------|----------|-------|---------|
| BPA pricing volatility         | Med-High   | High     | 7     | Sponsor |
| Insurer capacity and selection | Medium     | Med-High | 10    | Sponsor |
| Transfer documentation errors  | Low-Med    | Medium   | 9     | Trustee |

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Climate Risks

| Risk                                    | Likelihood | Impact | Score | Owner           |
|-----------------------------------------|------------|--------|-------|-----------------|
| Transition risk on strategic allocation | Low        | High   | 15    | Trustee         |
| Physical risk on property holdings      | Medium     | Medium | 8     | Investment Ctte |
| TCFD reporting completeness             | Low        | Medium | 7     | Investment Ctte |

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Governance Risks

| Risk                                 | Likelihood | Impact   | Score | Owner         |
|--------------------------------------|------------|----------|-------|---------------|
| Trustee board composition and skills | Med-High   | Medium   | 10    | Sponsor       |
| Adviser rotation and independence    | Med-High   | High     | 15    | Administrator |
| Conflict of interest management      | Low        | Med-High | 11    | Sponsor       |

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.